The 10 most common behavioral mistakes and exactly how to fix each one.

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Most traders do not lose money because they cannot read charts. They lose money because of how they behave under pressure. Discipline, emotional control, and behavioral consistency are not soft skills — they are the primary determinants of long-term trading profitability. These are the 10 behavioral patterns that destroy trading accounts, and what to do about each one.

1

Revenge Trading

After a loss, the urge to immediately make it back by sizing up or taking a low-quality trade. The brain registers the loss as a threat and wants to neutralize it immediately. Fix: Define your daily max loss before you open your platform. The moment you hit it, your trading day is over — no exceptions.

2

FOMO — Fear of Missing Out

Chasing a stock that has already moved significantly because you feel like you are missing the opportunity. Watching a stock run 15% without you feels worse than an actual loss to most traders. Fix: Accept that you missed this move. Write it in your journal. The next setup is always coming.

3

Overtrading

Taking too many trades, often out of boredom or restlessness. The best traders take fewer trades than average, not more. Fix: Require every trade to pass a specific checklist before entry. If the checklist is not fully met, there is no trade.

4

Moving Your Stop Loss

Moving your stop further from your entry when a trade goes against you to avoid booking a loss. Fix: The stop was right when you set it. Moving it is the only mechanism by which a small, planned loss becomes a large, unplanned, account-damaging one. Not once. Not ever.

5

Averaging Down Into Losers

Adding to a losing position because the current price feels cheaper than your entry. Fix: Your stop defines when you are wrong. When you are wrong, you exit — you do not add. Averaging down is the most common mechanism for catastrophic account drawdowns.

6

Taking Profits Too Early

Exiting winning trades the moment they show any profit out of fear they will reverse. This creates an asymmetric result: small wins and large losses. Fix: Set a specific target before entry. Use a partial exit — take some off at target one, trail the rest.

7

Ignoring the Broader Market

Taking aggressive long positions while SPY and QQQ are selling off hard. Fix: Check the indexes before every trade. If the market is against your direction, either stay out or reduce your size significantly. Trade with the tide.

8

Trading Without a Plan

Entering without a clearly defined entry trigger, stop loss level, and price target. Fix: Write down or mentally define all three before you click the button. If you cannot define all three, you do not have a trade — you have a guess.

9

Overconfidence After Wins

After a strong run of profitable trades, increasing position size because of recent confidence. Fix: Position size is determined by account size and defined risk percentage — not by your recent P&L. The next trade has the same probability it always did.

10

Failing to Review Trades

Trading every day without systematically reviewing what is working. Without review, you repeat the same mistakes indefinitely. Fix: Journal every trade. Review your journal weekly. Your data will tell you exactly where you are making money and where you are losing it.

BEHAVIORAL SELF-ASSESSMENT

Check every one that applies. Be honest — the purpose is to identify which patterns to prioritize working on.

- [ ] I have taken a trade immediately after a loss specifically to try to recover that loss
- [ ] I have chased a stock after it already moved significantly
- [ ] I have taken more than 6 trades in a single day with no clear reason for each
- [ ] I have moved my stop loss further away to avoid booking a loss
- [ ] I have added shares to a losing position hoping it would come back
- [ ] I have sold a winning trade within minutes of entry out of fear it would reverse
- [ ] I have entered a trade without knowing my exact stop and target first
- [ ] I have taken significantly larger positions after a winning streak
- [ ] I have gone more than one week without reviewing and journaling my trades
- [ ] I have traded while angry, frustrated, or immediately after a significant loss

TST SCORING

0 to 2 checks: strong behavioral discipline. 3 to 5 checks: focused work needed on those specific areas. 6 or more checks: behavioral patterns are likely your primary source of losses — prioritize this above any technical skill development.

The full trading psychology module is included in the TST Academy course at topstocktrading.com